



FORM TP 2020027

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JANUARY 2020

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 01 – General Proficiency

1 hour 30 minutes

08 JANUARY 2020 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 30 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

Prime cost is calculated by adding direct factory expenses to the

- (A) cost of goods sold
- (B) cost of materials used
- (C) sale of finished goods
- (D) sale of non-current assets

Sample Answer



The best answer to this item is “cost of materials used”, so (B) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.
7. You may use a silent, non-programmable calculator to answer items.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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1. Which of the following financial statements shows the value of a business' assets?

(A) Balance sheet
(B) Trading account
(C) Cash flow statement
(D) Profit and loss account

2. The MAIN internal users of accounting information are

(A) managers
(B) competitors
(C) local communities
(D) government agencies

3. Which of the following features are benefits of using accounting software?

I. Integrated analysis of information
II. Almost immediate updating of records
III. Programmable to recognize irregular entries

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

4. Which of the following lists of activities shows the correct order of the stages in the accounting cycle, before final accounts?

(A) Posting to ledger, journalizing, trial balance
(B) Posting to ledger, trial balance, journalizing
(C) Journalizing, posting to ledger, trial balance
(D) Journalizing, trial balance, posting to ledger

5. The following information refers to the assets and liabilities of Mr Jones.

	\$
Cash at bank	800
Inventory	400
Payables	600
Receivables	125
Bank overdraft	250
Cash in hand	500

From the information above, Mr Jones' capital amount is

(A) \$405
(B) \$450
(C) \$850
(D) \$975

6. Partnerships are formed for the purpose of

I. combining capital from different persons
II. benefiting from different skills and specializations
III. sharing ideas, experience and responsibilities

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

7. Which of the following is usually used to complete a general journal entry?

(A) Narration
(B) Description of assets
(C) Description of liabilities
(D) Name of book to which entry must be posted



Item 8 refers to the following balances at the end of a financial period.

	\$
Motor vehicles	2 000
Payables	3 000
Receivables	2 000
Capital	11 000
Building	10 000

Item 12 refers to the following balances taken from the books of Sherida's Ltd on 30 April 2019.

BALANCES	
Rent owing	\$ 200
Cash	\$3 500
Payables	\$1 200
Prepaid insurance	\$ 300
Bank overdraft	\$ 400

8. What is the TOTAL amount for the assets?

- (A) \$12 000
- (B) \$13 000
- (C) \$14 000
- (D) \$15 000

9. Ram Singh purchased goods valued at \$500 on credit. He paid off his bill within the grace period and so received a 10% cash discount. How much did he pay for the goods?

- (A) \$ 50
- (B) \$450
- (C) \$490
- (D) \$550

10. Which of the following items are examples of current liabilities?

- I. Mortgages
- II. Accounts payable
- III. Accrued wages

- (A) I and II only
- (B) I and III only
- (C) II and III only
- (D) I, II and III

11. Which of the following entries in a three-column cash book are contra entries?

- (A) Debit cash, Credit bank
- (B) Debit cash, Credit cash
- (C) Credit cash, Credit bank
- (D) Debit bank, Credit bank

12. What is the current ratio of Sherida's Ltd?

- (A) 1 : 1
- (B) 1.5 : 1
- (C) 2.1 : 1
- (D) 3.1 : 1

13. Which of the following entries should be used to post sales returns?

- (A) Debit sales returns account
Credit the receivable account
- (B) Debit sales returns account
Credit sales account
- (C) Debit sales account
Credit sales returns account
- (D) Debit the receivable account
Credit sales returns account

14. Which of the following persons monitor a company's financial statements, to discover a desirable rate of return on capital?

- (A) Investors
- (B) Suppliers
- (C) Customers
- (D) Employees

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Item 15 refers to the following information from the books of a company.

	\$
Cash sales	10 000
Credit sales	45 000
Inventory on hand	40 000
Drawings	8 000
Cash purchases	12 000
Credit purchases	20 200

15. From the information above, what is the correct closing total for the sales account?

- (A) \$47 000
(B) \$49 000
(C) \$55 000
(D) \$59 000

16. Which of the following entries would NOT appear in a cash book?

- (A) Payment for goods \$100
(B) Goods sold on credit \$100
(C) Goods sold for cheque \$100
(D) Goods bought for cash \$100

17. K. Khan, a debtor of A and B Enterprises, settles his debt of \$120 less discount, by cheque. How should the double entry be recorded in the books of A and B Enterprises?

(A)	Debit K. Khan Debit discount received Credit bank	\$117 \$ 3 \$120
(B)	Debit K. Khan Debit discount allowed Credit bank	\$117 \$ 3 \$120
(C)	Debit bank Debit discount allowed Credit K. Khan	\$117 \$ 3 \$120
(D)	Debit bank Credit discount received Credit K. Khan	\$117 \$ 3 \$120

18. Mr A. Jones paid \$250 in cash for repairs to machinery. This transaction was entered in the cash book and posted to the ledger. The double entry involved would be

- (A) Debit cash account
Credit repairs account
(B) Debit cash account
Credit machinery account
(C) Debit repairs account
Credit cash account
(D) Debit A. Jones account
Credit cash account

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19. In order to avoid writing numerous cheques for small amounts, a firm may set up a

(A) bank draft
(B) petty cash fund
(C) general journal
(D) bank standing order

Item 20 refers to the following information from the sales book of R. Lewis.

2019		\$
2 Jan	H. Rick 30 @ \$1.50	45
	Less $33\frac{1}{3}\%$	
	Trade discount	<u>15</u> <u>30</u>

20. How would R. Lewis record this information in his ledger?

(A) Debit H. Rick's account \$45
Credit sales account \$45

(B) Debit H. Rick's account \$30
Credit sales day book \$30

(C) Debit H. Rick's account \$45
Credit sales account \$30

(D) Debit H. Rick's account \$30
Credit sales account \$30

21. A businessman bought a new computer for \$6 000. He paid \$4 000 in cash and traded in his old computer. What is the entry to record this transaction?

	Debit	Credit
(A) Debit old computer	\$2 000	
Debit cash	\$4 000	
Credit new computer		\$6 000
(B) Debit new computer	\$4 000	
Debit cash	\$2 000	
Credit old computer		\$6 000
(C) Debit old computer		\$6 000
Debit cash	\$4 000	
Credit new computer	\$2 000	
(D) Debit new computer	\$6 000	
Credit old computer		\$2 000
Credit cash		\$4 000

22. When a proprietor withdraws cash or other assets from a business, what effect does it have on drawings or capital?

(A) Capital is increased.
(B) Capital is decreased.
(C) Drawings are decreased.
(D) Neither drawings nor capital is affected.

Items 23–25 refer to the following Statement of Financial Position (Balance Sheet).

	\$	\$		\$	\$
Leasehold premises		10 000	Capital at start		24 000
Furniture, fittings and equipment		<u>4 500</u>	Less loss for year		<u>2 200</u>
		14 500			21 800
			Less drawings		<u>1 800</u>
					20 000
Inventory	2 500				
Receivables	3 700				
Bank current a/c	2 100		Creditors	2 100	
Cash in hand	<u>500</u>		Accrued expenses	<u>1 200</u>	
		8 800			3 300
		<u>23 300</u>			<u>23 300</u>

23. What is the total value of the fixed assets?
- (A) \$11 200
 (B) \$14 500
 (C) \$20 000
 (D) \$23 300
24. The closing capital is
- (A) \$20 000
 (B) \$20 700
 (C) \$21 800
 (D) \$22 800
25. The working capital is
- (A) \$2 600
 (B) \$5 500
 (C) \$6 200
 (D) \$6 800
26. In calculating the gross profit percentage, gross profit should be divided by
- (A) cost of goods sold
 (B) net purchases
 (C) net profit
 (D) net sales

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Item 27 refers to the following information.

Debit			Insurance A/c	Credit		
2017			\$	2017		\$
2 January	Balance b/d	700		31 December	Profit & Loss A/c	8 100
15 January	Bank	8 000		31 December	Balance c/d	600
		<u>8 700</u>				<u>8 700</u>

27. What is the amount of insurance prepaid at the end of the year?

- (A) \$ 600
- (B) \$ 700
- (C) \$8 000
- (D) \$8 100

28. Which of the following financial documents shows the net earnings of a business?

- (A) Income Statement
- (B) Appropriation Account
- (C) Statement of Financial Position
- (D) Receipts and Payments Account

Item 29 refers to the following table.

Period of Debt	Amount of Accounts Receivable	Provision for Bad Debts
Over 3 years	\$6 000	3% of accounts receivable
Over 2 years	\$4 000	2% of accounts receivable
Over 1 year	\$8 000	1% of accounts receivable

29. What is the TOTAL provision for doubtful debts?

- (A) \$180
- (B) \$340
- (C) \$400
- (D) \$500

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30. An asset purchased for \$1 000 is depreciated at the rate of 10% per annum using the reducing balance method. What is the book value of the asset at the beginning of the third year?

(A) \$ 800
(B) \$ 810
(C) \$ 900
(D) \$1 190

31. An increase in the provision for doubtful debts will be

(A) added to sales in the trading account
(B) subtracted from sales in the trading account
(C) included as revenue in the profit and loss account
(D) included as an expense in the profit and loss account

Item 32 refers to the following table which shows the summarized position of Foster and Scott Limited at 6 March 2019.

	\$
Current liabilities	60 000
Current assets	100 000
Non-current assets	200 000
Non-current liabilities	150 000

32. What was the capital of Foster and Scott Limited at 6 March 2018?

(A) \$ 40 000
(B) \$ 90 000
(C) \$150 000
(D) \$190 000

Item 33 refers to the following information.

On 1 January 2019, \$10 000 was paid towards an advertising campaign. Of this amount, \$7 000 was used by 31 December 2019.

33. What was the amount of advertising prepaid at year's end?

(A) \$ 3 000
(B) \$ 7 000
(C) \$10 000
(D) \$17 000

34. A standing order of \$25 for insurance appears in the debit column of the bank statement. This amount does not appear in the cash book. How is this item treated in order to update the cash book?

(A) Credit the bank account with \$25.
(B) Debit the bank account with \$25.
(C) Add \$25 to the bank statement balance.
(D) Subtract \$25 from the bank statement balance.

Item 35 refers to the following information provided by a business.

	\$
Total unpresented cheques	120
Lodgement not entered on bank statement	150
Balance per cash book	560

35. What is the balance per bank statement?

(A) \$120
(B) \$150
(C) \$340
(D) \$530



Open stock - 1500
 + Purch. - 1200
 Cost of goods available - 3700
 for sale
 - closing stock - 2000 - 9 -
 Cost of goods sold - 1700

Item 36 refers to the following information.

	\$
Inventory at 1 January 2019	1 500
Purchases during the month	1 200
Cost of goods sold	1 400

36. What is the inventory at the end of January?

- (A) \$ 300
- (B) \$ 500
- (C) \$ 700
- (D) \$1 300

37. Mrs Allen invested \$20 000 and Mrs Brown and Mr Cable invested \$5 000 each into the same business. The loss sustained during the year was \$1000. The partnership agreement is silent on the item of losses, although profits are to be split in the ratio 2:2:1 in favour of Allen, Brown and Cable respectively. How much of the loss must be borne by Mr Cable?

- (A) \$140
- (B) \$200
- (C) \$300
- (D) \$400

38. Mr Green and Mrs Black agreed to establish a partnership, Green and Black Co. and each of them deposited \$5 000 into a bank account. How should this be recorded in the books of the partnership?

- (A) Credit cash \$10 000
Debit capital \$10 000
- (B) Debit Green and Black Co. \$10 000
Credit bank \$10 000 each
- (C) Debit partnership bank account \$10 000
Credit partners' current accounts \$5 000 each
- (D) Debit partnership bank account \$10 000
Credit partners' capital accounts \$5 000 each

39. A trader had an opening capital of \$3 900. If his drawings were \$900 and his closing capital was \$4 860, what was the net profit?

- (A) \$ 900
- (B) \$ 960
- (C) \$1 860
- (D) \$3 000

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40. Rose contributed \$7 000 in cash and a motor vehicle worth \$3 000 to a partnership. Rose's contribution to the partnership would be recorded in the journal as

		Debit \$	Credit \$
(A)	Cash Rose's capital	10 000	10 000
(B)	Rose's capital Cash	7 000	7 000
(C)	Cash Motor vehicle Rose's capital	7 000 3 000	10 000
(D)	Rose's capital Motor vehicle Cash	10 000	3 000 7 000

41. In a cooperative society, the daily affairs are administered by
- (A) all members
(B) a majority of shareholders
(C) the chairman of the board only
(D) persons elected or appointed to do so
42. The owner of a business paid a personal medical bill from the bank account of the business. The amount was debited to the miscellaneous expenses account. Which of the following concepts was violated?
- (A) Matching
(B) Prudence
(C) Consistency
(D) Business entity
43. A photocopying machine valued at \$5 000 is depreciated at 10% using the straight line method. What is its book value after TWO years?
- (A) \$4 000
(B) \$4 050
(C) \$4 500
(D) \$4 980
44. According to the Partnership Act, if there is no Deed of Partnership, the amount of profit to be received by EACH partner would be
- (A) divided equally
(B) calculated at 5% of net profit
(C) calculated at 5% on capital invested
(D) divided in proportion to capital invested
45. Which of the following items on a Statement of Financial Position would differ MOST in presentation when comparing the books of a company and the books of a sole trader?
- (A) Non-current assets
(B) Current liabilities
(C) Current assets
(D) Capital
46. The reward of profit received by a shareholder in a limited company is called
- (A) interest
(B) drawings
(C) dividends
(D) commission

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47. How does an increase in bad debts affect a sole trader's financial statements?
- (A) Decreases the gross profit
 - (B) Increases the gross profit
 - (C) Decreases the net profit
 - (D) Increases the net profit
48. Which of the following accounts are nominal?
- (A) Wages and Rent
 - (B) Machinery and Plant
 - (C) Payables and Fixtures
 - (D) Inventory and Receivables
49. Which of the following terms BEST describes the final accounts of a non-profit organization?
- I. Income Statement
 - II. Receipts and Payments Account
 - III. Statement of Financial Position
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
50. An example of a capital expenditure is money spent for
- (A) paying rent
 - (B) paying wages
 - (C) purchasing goods
 - (D) purchasing a new building
51. The purpose of an appropriation account is to
- (A) show how the net profit is distributed in a partnership or co-operative
 - (B) change capital expenditure as agreed upon in the Articles of Association
 - (C) enter all capital and revenue expenditure as stipulated in the Partnership Act
 - (D) make appropriate changes related to net profit as agreed upon in the Articles of Association
52. If revenue expenditure is overstated, which of the following items will be affected?
- (A) Sales
 - (B) Surplus
 - (C) Inventory
 - (D) Working capital
53. When writing up the books of a partnership, which account must EACH partner have?
- (A) Bank
 - (B) Current
 - (C) Savings
 - (D) Fixed deposit

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Item 54 refers to the following information.

J. Baynes Manufacturing Account for the Period Ended 31 December 2017

	\$		\$
Inventory of raw materials 1 January 2017	800		
Purchases of raw materials during year	<u>4 500</u>	Balance carried forward	6 800
	5 300		
Less closing inventory of raw materials 31 December 2017	<u>1 400</u>		
	3 900		
Productive wages	1 300		
Fuel and power	900		
Lubricants	100		
Rent and rates	400		
Insurance	<u>200</u>		
	<u>6 800</u>		<u>6 800</u>

54. What is the cost of the raw materials consumed?

- (A) \$ 800
- (B) \$1 200
- (C) \$3 900
- (D) \$4 500

Item 55 refers to the following table which shows balances of the asset accounts of the Bayroe Club as at 30 June 2019.

Assets	\$
Premises	5 400
Equipment	1 825
Furniture	960
Bank and cash	1 640
Inventory and refreshments	72

55. The amount of the club's accumulated fund was

- (A) \$1 640
- (B) \$4 497
- (C) \$8 185
- (D) \$9 897

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56. Salaries paid to the administrative staff in a factory would be classified as which of the following types of cost?

(A) Manufacturing
(B) Indirect
(C) Direct
(D) Prime

57. When a company declares a dividend of 15% the dividend warrant of a shareholder owning 1500 one-dollar ordinary shares is

(A) \$ 100
(B) \$ 225
(C) \$1 500
(D) \$1 515

58. Prime cost is \$79 110, office expenses \$3 000 and factory overheads \$4 720. How much is the cost of production?

(A) \$ 4 720
(B) \$74 390
(C) \$83 830
(D) \$86 830

Item 59 refers to the following list of balances.

	\$
Work in progress 1 January	1 600
Work in progress 31 December	1 700
Cost of materials used	3 000
Indirect expenses	3 200
Factory wages	5 000

59. Using the list of balances above, what is the cost of goods produced?

(A) \$ 8 000
(B) \$ 8 700
(C) \$ 11 100
(D) \$ 11 200

60. P. Amos is employed by a construction company at a rate of \$7 per hour. During a week, he worked his basic week of 40 hours. The income tax due on his pay is \$20, and he is also liable to pay national insurance contributions of 5% of his gross pay. What is his net pay?

(A) \$246
(B) \$260
(C) \$266
(D) \$280

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.